



## 5 Key Market Events That Shaped Global Markets in 2025

The year 2025 marked a period of heightened adjustment across global financial markets. Shifts in political leadership, trade policy, and monetary conditions prompted repeated reassessments of risk, valuation, and growth expectations.

Markets responded to a series of defining developments: the return of a Trump administration, the introduction of sweeping tariffs, a prolonged US government shutdown, and the Federal Reserve's move into a new easing phase. At the same time, long-held assumptions around technology-led growth were tested as questions emerged over the pace of AI adoption and its ability to justify elevated valuations.

Rather than being driven by a single catalyst, market behaviour in 2025 reflected the interaction of policy decisions, economic data, and structural change. This article outlines the key events that shaped market sentiment during the year and examines how different asset classes responded as conditions evolved.

### Key Points

- Political and policy shifts in the United States — including a second Trump inauguration, sweeping tariff measures, and a prolonged government shutdown — acted as major

catalysts for market repricing across equities, bonds, currencies, and commodities in 2025.

- Monetary policy played a central role as the Federal Reserve moved from restrictive rates to a measured easing cycle, influencing asset valuations while highlighting the market's sensitivity to guidance, data gaps, and fiscal uncertainty.
- Technology-led optimism was increasingly questioned as AI bubble concerns gained traction, with slowing adoption, stretched valuations, and high-profile bearish positioning shaping sentiment despite continued capital inflows into the sector.

## 1. Trump Inauguration 2025: Early Policy Signals for Markets

Donald Trump was inaugurated for a second term on 20 January 2025, giving markets early clarity on political leadership and near-term policy sequencing. Attention quickly moved from the ceremony to Day One executive orders, which provided the first concrete signals on economic and trade priorities.

US equities rose in the immediate aftermath, reflecting relief that no broad tariffs were announced on inauguration day. The Dow Jones Industrial Average gained 1.2%, the S&P 500 rose 0.8%, and the Nasdaq Composite advanced 0.6%. The move was interpreted as reduced near-term trade disruption risk rather than a material shift in growth expectations.

Energy policy produced a more uneven response. The declaration of a national energy emergency and the rollback of several clean energy measures weighed on the sector. Brent crude futures fell 1.1% to USD 79.29 per barrel as markets priced in higher potential US supply. Energy equities declined alongside oil prices, while renewable stocks came under pressure amid expectations of reduced policy support.

Rates markets reflected a reassessment of tariff risk and Treasury supply. Government bonds gave back some of the prior week's gains as optimism around a measured trade approach faded. The 10-year yield rose approximately 3.5 basis points to 4.61%, remaining below the previous week's highs after softer inflation data eased price-pressure concerns.

Currency markets were mixed. The US dollar swung against major peers as investors weighed which campaign pledges would translate into policy, while currencies with higher trade exposure — such as the Canadian dollar and Mexican peso — weakened amid renewed discussion of potential 25% tariffs from 1 February 2025.

Overall, the inauguration acted as a sentiment reset rather than a volatility shock. Markets responded to the absence of immediate trade escalation while beginning to reprice sector and regional exposure based on policy direction.

## Trade Policy Escalation: The 2025 Tariff Announcements

On 2 April 2025, the administration announced a sweeping tariff regime, widely referred to as the "*Liberation Day Tariffs*". A baseline 10% levy was applied to all imports, with additional reciprocal tariffs — up to 50% or more — on selected countries with persistent trade barriers or large surpluses with the US. Targeted measures followed, including a 25% tariff on imports from countries purchasing Venezuelan oil.

### Impact on Equities

Markets reacted sharply. Equity indices experienced pronounced declines amid rising risk aversion on and around the tariff implementation date:

- The **Dow Jones Industrial Average** fell over **5.5%** in the immediate sell-off.
- The **S&P 500** dropped approximately **6%**.
- The **Nasdaq Composite** declined by nearly **5.8%**, bringing the technology-heavy index into bear market territory.

These moves reflected broad-based selling pressure as investors recalibrated valuations in response to higher import levies and potential supply chain disruptions. Some markets suffered double-digit losses in short intervals, with trade-exposed sectors underperforming more defensive asset classes.

### Commodities and Currencies

Oil prices weakened broadly amid concerns that heightened trade tensions could dampen global demand. Safe-haven assets, particularly gold, rallied sharply as investors sought shelter from equity volatility and macroeconomic uncertainty, at times reaching historically elevated levels.

In currency markets, several trading partners' currencies depreciated against the US dollar on export competitiveness concerns, while safe-haven currencies such as the Japanese yen and Swiss franc saw periods of strength as risk sentiment deteriorated.

## 2. Warren Buffett's Departure as CEO

Warren Buffett announced on 3 May 2025 that he intended to step down as Chief Executive Officer of Berkshire Hathaway at year-end, marking the conclusion of more than six decades leading the conglomerate. The announcement came at the annual shareholder meeting in Omaha, where Buffett revealed his plan to hand day-to-day leadership to Greg Abel, the company's long-time successor. Buffett would remain chairman of the board.

The market reaction was swift. In the days following the announcement, Berkshire Hathaway's stock price declined by around 5%, eroding roughly USD 59 billion in market capitalisation. The

sell-off illustrated how closely Berkshire's valuation has been tied to Buffett's personal stewardship — particularly his disciplined capital deployment approach — rather than balance-sheet strength alone.

Investor attention subsequently shifted to how capital allocation might evolve under Abel. Berkshire's substantial cash position, historically deployed opportunistically during market dislocations, remained a central variable. Any change in deployment pace, acquisition appetite, or risk tolerance carries implications for earnings expectations and long-term valuation multiples.

### 3. US Government Shutdown: Fiscal Deadlock and Market Implications

The US government shutdown that began on 1 October 2025 became one of the longest in modern history, lasting 43 days before resolution on 12 November. The impasse arose from divisions between the Republican-controlled House and the Democratic-led Senate over healthcare subsidies, foreign aid, and discretionary spending cuts.

The timing amplified market sensitivity. The shutdown coincided with elevated fiscal pressure — a budget deficit exceeding 6% of GDP and record Treasury issuance. Approximately 750,000 federal employees were furloughed, while a further 1.3 million continued working without pay. The Office of Management and Budget estimated the economic cost could exceed USD 8–10 billion if the disruption extended into late November.

#### Market Impact

Financial markets during the shutdown reflected uncertainty rather than systemic stress. Equity indices showed intermittent volatility, particularly in sectors linked to government spending — defence, infrastructure, and federal services. Treasury markets experienced brief dislocations, with short-term bill yields rising as investors priced in operational and settlement risks.

The Dollar Index fell 0.35% to 99.14 as currency markets adjusted. Longer-term concerns around US fiscal credibility also resurfaced, particularly in the context of Fitch Ratings' 2023 sovereign credit downgrade, which had already primed markets to treat fiscal dysfunction as a structural rather than cyclical issue.

### 4. The Federal Reserve's Path to Rate Cuts

The Federal Reserve navigated a difficult policy environment throughout 2025. Labour conditions softened, inflation eased only gradually, and two external shocks disrupted the backdrop: the April tariff announcements and the prolonged fourth-quarter government shutdown, which limited the availability of official economic data.

Rates were held steady at restrictive levels for most of the year. In the second half, the Federal Open Market Committee shifted focus from inflation to employment protection as downside risks became clearer. By year-end, internal disagreement had intensified, with three dissenting votes at the final meeting — the most since 2019.

## FOMC Timeline: 2025 Rate Actions

- January, March, May, June, July: Hold at 4.25%–4.50%
- September: 25 bps cut to 4.00%–4.25%
- October: 25 bps cut to 3.75%–4.00%
- December: 25 bps cut to 3.50%–3.75%

## The December "Hawkish Cut"

The December move was widely described as a hawkish cut: rates moved lower, but guidance signalled limited scope for further easing. The 9–3 vote split unsettled markets despite the cut itself being fully priced in.

### Equities

Equity markets initially rose in response to the rate cut. The Dow Jones Industrial Average gained 1.1%, closing at 48,057.75. The S&P 500 added 0.7% to finish at 6,886.68 — briefly trading above its prior record close. The Nasdaq Composite rose 0.3% to 23,654.16. Gains were moderated by guidance signalling a more cautious policy outlook going forward.

### Bonds

Bond markets delivered a mixed response. Short-term yields moved lower following the cut, while longer-dated yields remained elevated, reflecting continued uncertainty around inflation and fiscal conditions. The benchmark 10-year Treasury yield fell 4.3 basis points to 4.143%, ending a four-session advance.

### Currencies and Commodities

The Dollar Index slipped 0.2% to 98.99 as rate differentials narrowed. Gold rose 1.2% to USD 4,280.08 per ounce — its highest level in over a month. Silver climbed nearly 4% to USD 64.22 per ounce, trading close to record levels.

### The Data Gap

Market reactions were also shaped by the aftermath of the 43-day shutdown. Delays in official data for October and November reduced confidence in near-term economic signals. Investors relied more heavily on private indicators and informal reporting, which muted the typical response to a major policy event and added an additional layer of uncertainty to an already complex backdrop.

## 5. AI Bubble Concerns

By 2025, concerns about a potential AI bubble had moved into mainstream market discussion. Rapid advances in model capability continued, but questions emerged around valuation discipline, capital intensity, and whether commercial adoption could keep pace with investment levels. As the year progressed, these concerns evolved from isolated doubts into a recurring theme shaping sentiment across technology and broader equity markets.

## Early Signals

The trigger came early in the year with the release of DeepSeek's R1 open-source model, which challenged the prevailing assumption that leading AI systems required vast capital investment and advanced hardware.

The model suggested that high-quality performance could be achieved at significantly lower cost, raising questions about the durability of competitive advantages held by established players and prompting early reassessments of cost structures across the AI value chain.

## August Escalation: The MIT Report

Bubble fears intensified in late August following the publication of a study by the Massachusetts Institute of Technology. The findings unsettled investors by highlighting a widening gap between investment and outcomes:

- Despite an estimated USD 30–40 billion in enterprise spending, **95% of generative AI pilots failed to deliver measurable profit or operational impact.**
- Only **5%** of organisations had successfully integrated AI tools into production at scale.

The report shifted AI bubble concerns from a long-term risk to an immediate valuation issue, redirecting analyst focus to what became known as the "GenAI paradox" — where technical progress was not translating into productivity gains at the enterprise level.

## October: Institutional Sentiment Turns

By October, institutional positioning had grown more defensive. A Bank of America survey found that 54% of global fund managers viewed AI-related equities as being in bubble territory. Morgan Stanley described the AI-driven rally as entering its "seventh inning", citing weaker free cash flow among cloud providers, slowing revenue growth, and increasingly speculative deal activity. Credit default swap markets began to reflect fatigue with the rising debt levels being issued to finance AI infrastructure expansion.

## Year-End: Familiar Bubble Characteristics

By late 2025, several institutions noted that bubble characteristics had strengthened. Morgan Stanley's December outlook pointed to signs of excess around funding expectations tied to future revenue rather than current cash flows. Capital Economics observed that while AI-related valuations could extend into 2026, the market already displayed the hallmarks of prior bubble episodes: increasingly optimistic narratives and a growing disconnect between expectations and realised outcomes.

High-profile bearish positioning added to the debate. Michael Burry's disclosed short positions in AI-linked stocks attracted significant attention, yet markets largely treated these as a sentiment signal rather than a decisive catalyst — AI-linked equities continued to draw capital, suggesting

that scepticism alone was insufficient to reverse momentum without clear deterioration in earnings or adoption trends.

## Stock Market Reactions: Key Moments

- **The DeepSeek shock (January 2025):** The Nasdaq fell more than 3% on 27 January. NVIDIA declined 17% in a single session, erasing roughly USD 589 billion in market value. Semiconductor peers including Broadcom and Marvell also recorded double-digit losses.
- **MIT report sell-off (August 2025):** Technology stocks retreated as investors reassessed growth assumptions and the mismatch between innovation speed and real-world deployment became a focal point for valuation concerns.
- **Michael Burry disclosures (November 2025):** Filings showing sizable short positions in AI-linked stocks including Palantir Technologies and Nvidia contributed to a Nasdaq Composite decline of 2.04%. Palantir dropped nearly 8% and Nvidia closed approximately 4% lower.

## Conclusion

Taken together, the defining market events of 2025 highlighted how quickly sentiment can shift when policy, leadership, and structural assumptions are challenged simultaneously. From trade shocks and fiscal deadlock to monetary easing and AI valuation concerns, markets were repeatedly forced to reprice risk across asset classes throughout the year.

Rather than being driven by a single dominant theme, 2025 was shaped by overlapping pressures. Political decisions influenced trade and currencies; central bank actions reshaped rate expectations; and technological optimism was tested against economic reality. The year reinforced a core principle for market participants: policy signals, capital flows, and adoption trends rarely operate in isolation — understanding their interaction is increasingly central to navigating modern financial markets.